Following the delinking of gold from sterling, silver prices rose in terms of sterling and the rupee. On the eve of the outbreak of the war, silver prices received a further impetus, on account of sterling depreciation. The rising trend in prices swelled domestic demand for import of silver from the US. In October 1939, the import of silver bullion without a license from the RBI was prohibited under the Sea Customs Act. While the government had a large stock of standard silver, the demand in India was for refined silver. In December 1939, the RBI introduced a regulated scheme of imports from the US and the sterling area on a profit-sharing basis. The minimum and maximum prices to be paid for such imports were fixed at ₹62 and ₹64 per 100 tolas, respectively. Until January 1942, silver imports amounted to about 11 million ounces. In the three years 1940–43, India exported more than 68 million ounces to the UK to meet her requirements during the war. Such exports were paid for at the rate of ₹50 per 100 tolas, which was considerably lower than the prevailing market price, which from an average of ₹55.33 in 1939–40 rose to ₹94.46 in 1942–43.[17]

Meanwhile, sales in the domestic market which had commenced in August 1939 continued, and the price of domestic silver was relatively stable till the end of 1941. The entry of Japan into the war in the East led to a renewed demand for silver and a further increase in prices. The RBI found it increasingly difficult to meet the demand through its sales; the market absorbed nearby 6 million ounces in December 1941. From February 1942, silver sales were temporarily suspended. Speculation became rampant and prices rose to new heights. Meanwhile, as coinage requirements in India rose a great deal, silver sales were discontinued from October 14, 1942.

As wartime demand for currency and coinage increased, the government contemplated importing silver from the US Accordingly, the US Government released in all 226 million ounces to the Government of India for coinage purposes, to supplement currency reserves, and to augment supplies in the domestic market. Under the agreement, the whole quantity was to be returned within five years after the termination of the war emergency. However, the actual sales in India from silver borrowed under this programme amounted to only 50 million ounces and made a negligible impact on prices.

The sales were suspended from July 4, 1945. Total official sales in the Indian market in the period 1939–46 amounted to 181 million ounces of